



SASINI PLC

RIVANA CENTRE, OFF WAIYAKI WAY, BROOKSIDE GROOVE, MUGUGA GREEN P.O. BOX 30151-00100, NAIROBI
(A Member of The Sameer Group)

ANNOUNCEMENT OF RESULTS FOR THE SIX MONTHS ENDED 31 MARCH 2020 (Unaudited)

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME										
	Group		Company							
	31.03.2020	31.03.2019	31.03.2020	31.03.2019	31.03.2020	31.03.2019	31.03.2020	31.03.2019	31.03.2020	31.03.2019
	Ksh '000	Ksh '000	Ksh '000	Ksh '000	Ksh '000	Ksh '000	Ksh '000	Ksh '000	Ksh '000	Ksh '000
Revenue	1,823,795	1,192,898	291,342	232,494						
Gains/(Losses) arising from changes in fair value of biological assets less cost to sell	5,865	(138,519)	(10,044)	(143,324)						
Results from operating activities	(7,325)	(298,632)	(26,553)	78,692						
Finance income	8,800	35,219	11,184	5,178						
Finance cost	(11,615)	(5,355)	(5,258)	(4,479)						
(Loss)/ Profit before tax	(10,140)	(268,768)	(20,627)	79,391						
Tax (charge)/credit	(2,934)	74,070	6,188	55,694						
(Loss)/Profit for the year	(13,074)	(194,698)	(14,439)	135,085						
Profit attributable to:										
Non-controlling interest.	2,017	(2,987)	-	-						
Owners of parent	(15,091)	(191,711)	(14,439)	135,085						
(Loss)/Earning per share (Kshs) on operating activities	(13,074)	(194,698)	(14,439)	135,085						
Gain/(Loss) per share (Kshs) on biological assets	(17,825)	(97,578)	(7,408)	235,412						
(Loss)/ Earning per share (Kshs)	2,734	(94,133)	(7,031)	(100,327)						
	(15,091)	(191,711)	(14,439)	135,085						
(Loss)/Earning per share (Kshs) on operating activities	(0.08)	(0.43)	(0.03)	1.03						
Gain/(Loss) per share (Kshs) on biological assets	0.01	(0.41)	(0.03)	(0.44)						
(Loss)/ Earning per share (Kshs)	(0.07)	(0.84)	(0.06)	0.59						
Issued and fully paid shares of Kshs 1 each	228,055	228,055	228,055	228,055						
CONSOLIDATED STATEMENT OF FINANCIAL POSITION.										
	Group		Company							
	31.03.2020	30.09.2019	31.03.2020	30.09.2019	31.03.2020	30.09.2019	31.03.2020	30.09.2019	31.03.2020	30.09.2019
	Ksh '000	Ksh '000	Ksh '000	Ksh '000	Ksh '000	Ksh '000	Ksh '000	Ksh '000	Ksh '000	Ksh '000
ASSETS										
NON-CURRENT ASSETS										
Property, plant and equipment	11,490,903	11,455,879	7,439,799	7,450,772						
Capital Work-in-progress	95,822	89,103	40,467	90,512						
Intangible Assets	1,270	12,192	10,578	11,343						
Biological Assets	1,115,390	1,211,030	129,139	128,456						
Prepaid leases - leasehold land	10,288	10,408	-	-						
Investments in Subsidiary Companies	-	-	145,797	145,797						
Available-for-sale financial assets	-	-	444,000	-						
Right of use Asset	39,601	-	39,601	-						
Deferred tax asset	11,651	8,865	11,851	-						
	12,764,925	12,787,477	8,251,032	7,771,856						
CURRENT ASSETS										
Inventories	1,108,315	800,789	509,594	197,073						
Biological Assets	124,455	112,101	77,785	90,512						
Trade and Other receivables	543,347	450,610	148,107	89,737						
Amount due from related companies	-	1,000	354,134	777,772						
Tax recoverable	97,524	93,118	43,072	35,894						
Cash and Bank balances	539,185	429,264	234,035	141,919						
	2,412,826	1,886,882	1,366,727	1,332,907						
TOTAL ASSETS	15,177,751	14,674,359	9,617,759	9,104,763						
EQUITY AND LIABILITIES										
Capital and reserves	228,055	228,055	228,055	228,055						
Share Capital	10,090,285	10,087,551	7,158,927	7,165,958						
Non - Distributable Reserves	2,246,379	2,264,204	1,117,331	1,124,739						
Distributable Reserves	12,564,719	12,579,810	8,504,313	8,518,752						
	307,262	307,262	307,262	307,262						
Non controlling Interest	12,871,981	12,886,055	8,504,313	8,518,752						
Total equity										
Non-current liabilities										
Deferred tax liability	1,036,420	1,036,173	419,800	408,149						
Lease Liability	29,368	-	29,368	-						
Post employment benefits	289,109	309,534	18,345	26,893						
	1,345,897	1,345,707	467,513	435,042						
Current liabilities										
Post employment benefits	24,746	24,746	5,720	5,720						
Lease	10,233	-	-	-						
Borrowings	416,361	114,488	416,361	114,488						
Trade and Other Payables	505,533	296,808	213,619	30,761						
Tax payable	-	7,555	-	-						
	956,873	443,597	645,933	150,969						
TOTAL EQUITY AND LIABILITIES	15,177,751	14,674,359	9,617,759	9,104,763						
CONSOLIDATED CASHFLOW STATEMENT										
	Group		Company							
	31.03.2020	30.09.2019	31.03.2020	30.09.2019	31.03.2020	30.09.2019	31.03.2020	30.09.2019	31.03.2020	30.09.2019
	Ksh '000	Ksh '000	Ksh '000	Ksh '000	Ksh '000	Ksh '000	Ksh '000	Ksh '000	Ksh '000	Ksh '000
OPERATING ACTIVITIES										
Cash Flow Generated from Operations	(64,006)	(340,824)	231,818	(64,840)						
Gratuity paid	-	(28,608)	-	(2,728)						
Income taxes paid	(14,895)	(30,223)	(990)	(6,722)						
Net cash flows (used in) generated from operating activities	(78,901)	(399,655)	230,828	(74,290)						
INVESTING ACTIVITIES										
Purchase of Property, plant and equipment	(110,980)	(138,007)	(4,190)	(8,905)						
Purchase of Intangible Assets	-	(582)	-	(264)						
Purchase of biological assets	(1,061)	-	-	-						
Capital Work in progress	(8,427)	(54,201)	(2,979)	(15,702)						
Interest received	8,690	49,075	11,185	24,229						
Dividend received from Subsidiary company	-	-	-	199,750						
Share Holder advances	-	-	(444,000)	-						
Proceeds on sale of property and equipment	1,173	7,908	-	823						
Net cash flow used in investing activities	(110,604)	(135,807)	(439,984)	199,931						
FINANCING ACTIVITIES										
Interest paid	(5,258)	(12,564)	(5,258)	(12,564)						
Borrowing received	490,783	518,155	490,783	518,155						
Borrowing repaid	(188,910)	(408,419)	(188,910)	(408,419)						
Dividend paid to Minority holders	-	(35,250)	-	-						
Dividend paid on ordinary shares	-	(228,056)	-	(228,056)						
Net cash flow used in financing activities	296,615	(166,134)	296,615	(130,884)						
Net (Decrease) Increase in Cash and cash equivalents	107,110	(701,596)	87,459	(5,243)						
Cash and cash equivalents at the beginning of the period	429,264	1,135,609	141,919	147,162						
Impact of Initial application of IFRS 9	-	(4,749)	-	-						
Net foreign exchange rate gains/(losses)	2,811	-	4,657	-						
Cash and cash equivalents at the end of the period	538,185	429,264	234,035	141,919						
COMMENTS ON THE RESULTS										
The financial year began on a fairly good note with coffee registering higher prices in the market, avocado business registering good harvests due to good rains, and black tea production being way ahead of expectations. This has however been dampened by the stagnation of the macadamia business mainly due to COVID related market closures after the pandemic outbreak in the second quarter of the financial year and a reduction in our coffee production due to weather related disruptions to the coffee season that will affect volumes for the year. We initiated and continued the roll out of the planned switch to mechanization of tea harvesting aimed at tackling the ever-rising cost of production in our tea business. These activities saw the initiation of a turn around and the posting of much improved results compared to the same period in the prior year. The Group recorded a 53% increase in turnover to Kes. 1.82 billion compared to Kes. 1.19 billion in the same period, previous year. As a result, the Group recorded a 98% decrease in losses in operating activities to Kes. 7.32 million compared to prior year's same period loss of Kes. 298.63 million. This resulted into a loss before tax of Kes. 10.14 million compared to Kes. 268.76 million for the same period in the previous year. The Group therefore posted an overall loss after tax and non-controlling interest (including the changes in value of biological assets) of Kes. 15.09 million (prior year Kes. 191.71 million loss). This is made up of a loss from operating activities of Kes. 17.82 million compared to a loss of Kes. 97.57 million in the same period in the previous year for the group. The gain from changes in the value of biological assets was Kes. 5.86 million (prior year same period loss, Kes. 138.52 million). We are optimistic that we will continue this improvement in the next six months but are faced with several challenges arising for disruptions to the business from the COVID 19 pandemic. We expect the effects of the pandemic to affect aspects of our business by driving a decline in customer demands and thereby the stability of our liquidity. The group has taken a very prudent approach to business decisions in all our operating and supporting units. It is expected that these measures will assist in maintaining our operational focus to be able to withstand and continue to deliver on our core business areas in this unpredictable environment.										
DIVIDEND In consideration of the unpredicted business environment, the Directors do not recommend the payment of a dividend.										

7th May, 2020

The above extract is based on the Consolidated financial statements of Sasini PLC for the six months ended 31st March 2020